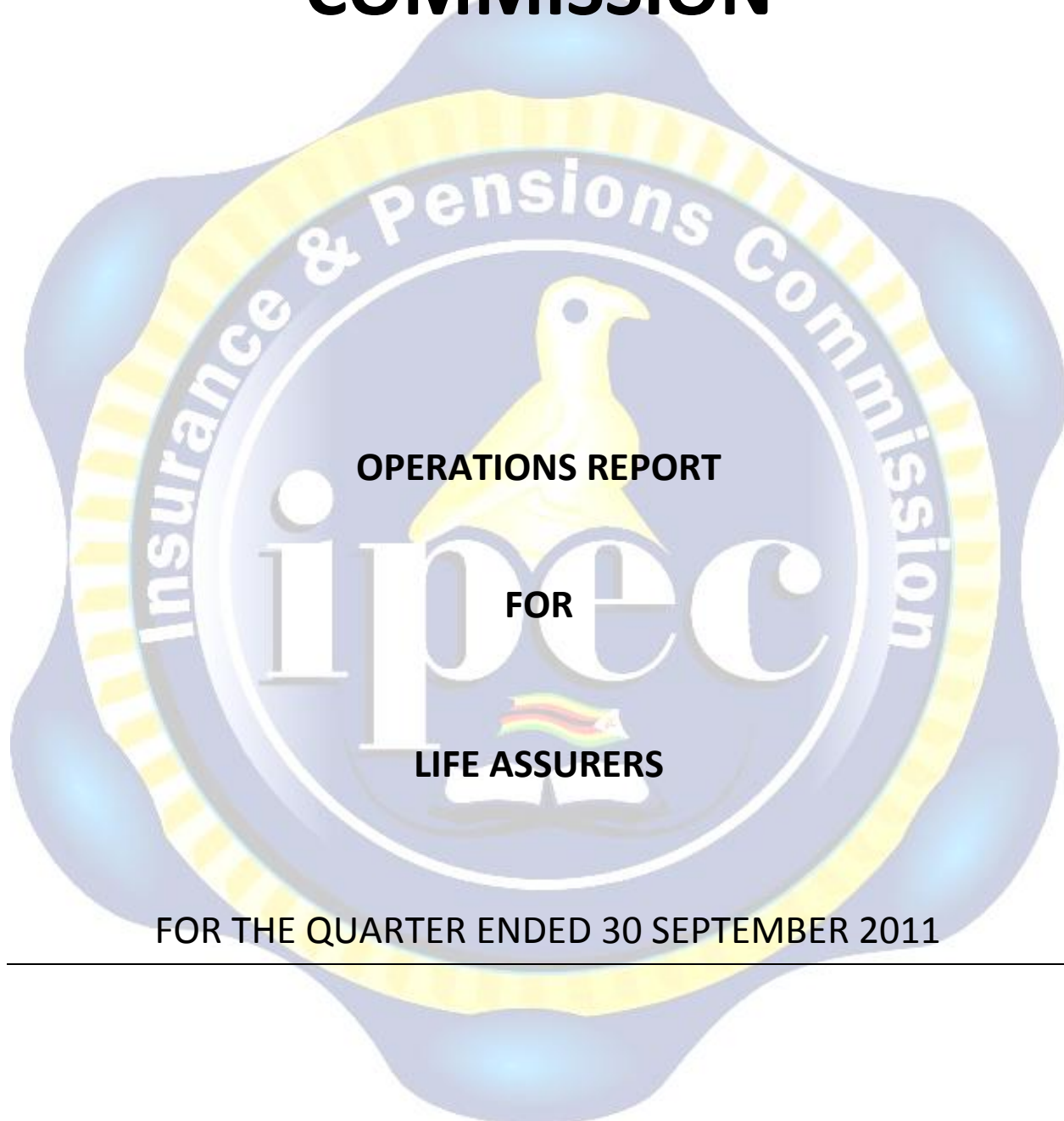


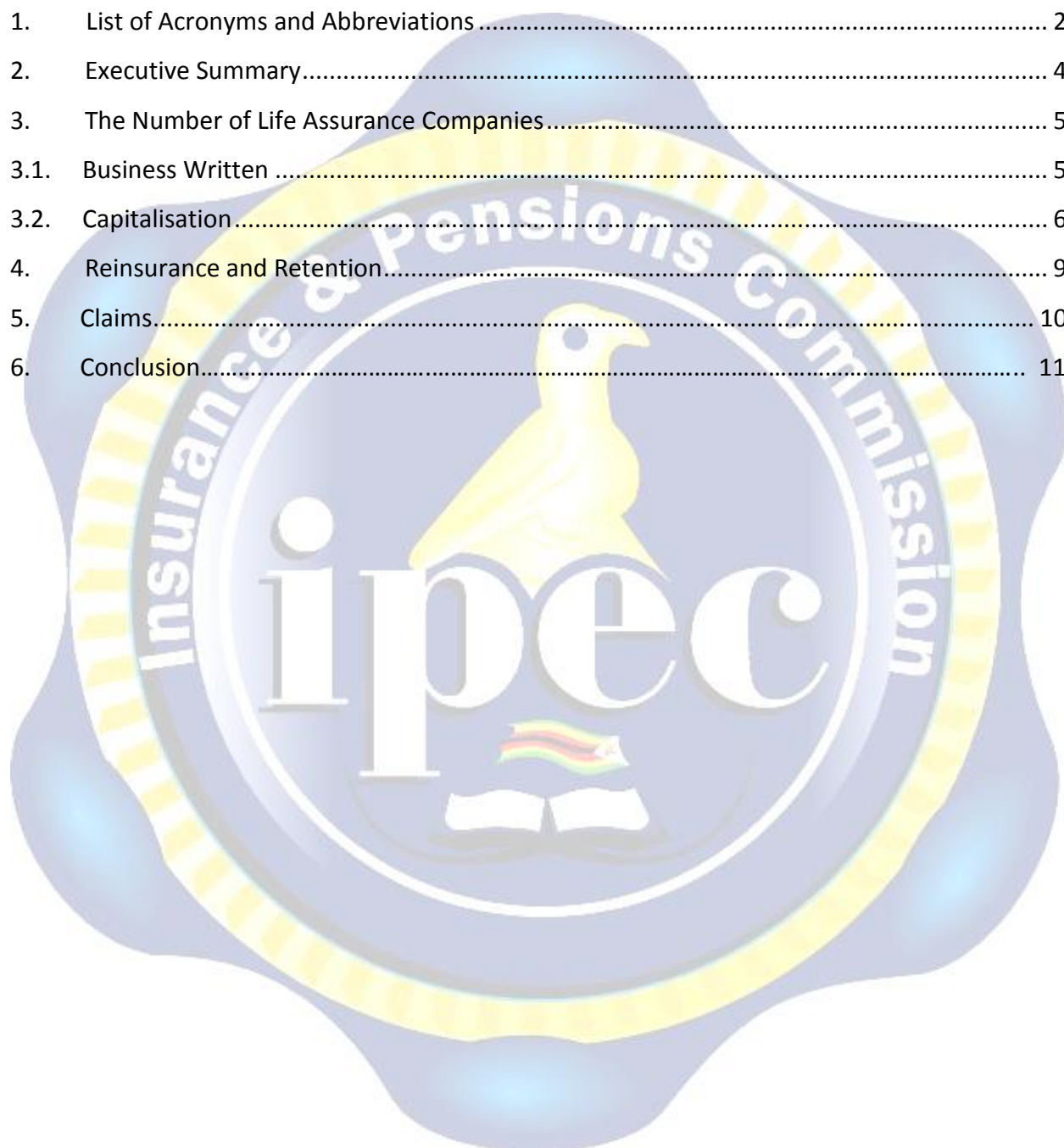
INSURANCE AND PENSIONS COMMISSION



FOR THE QUARTER ENDED 30 SEPTEMBER 2011

Contents

1.	List of Acronyms and Abbreviations	2
2.	Executive Summary.....	4
3.	The Number of Life Assurance Companies.....	5
3.1.	Business Written	5
3.2.	Capitalisation.....	6
4.	Reinsurance and Retention.....	9
5.	Claims.....	10
6.	Conclusion.....	11



1. List of Acronyms and Abbreviations

GPW Gross Premium Written

NPI Net Premium Income

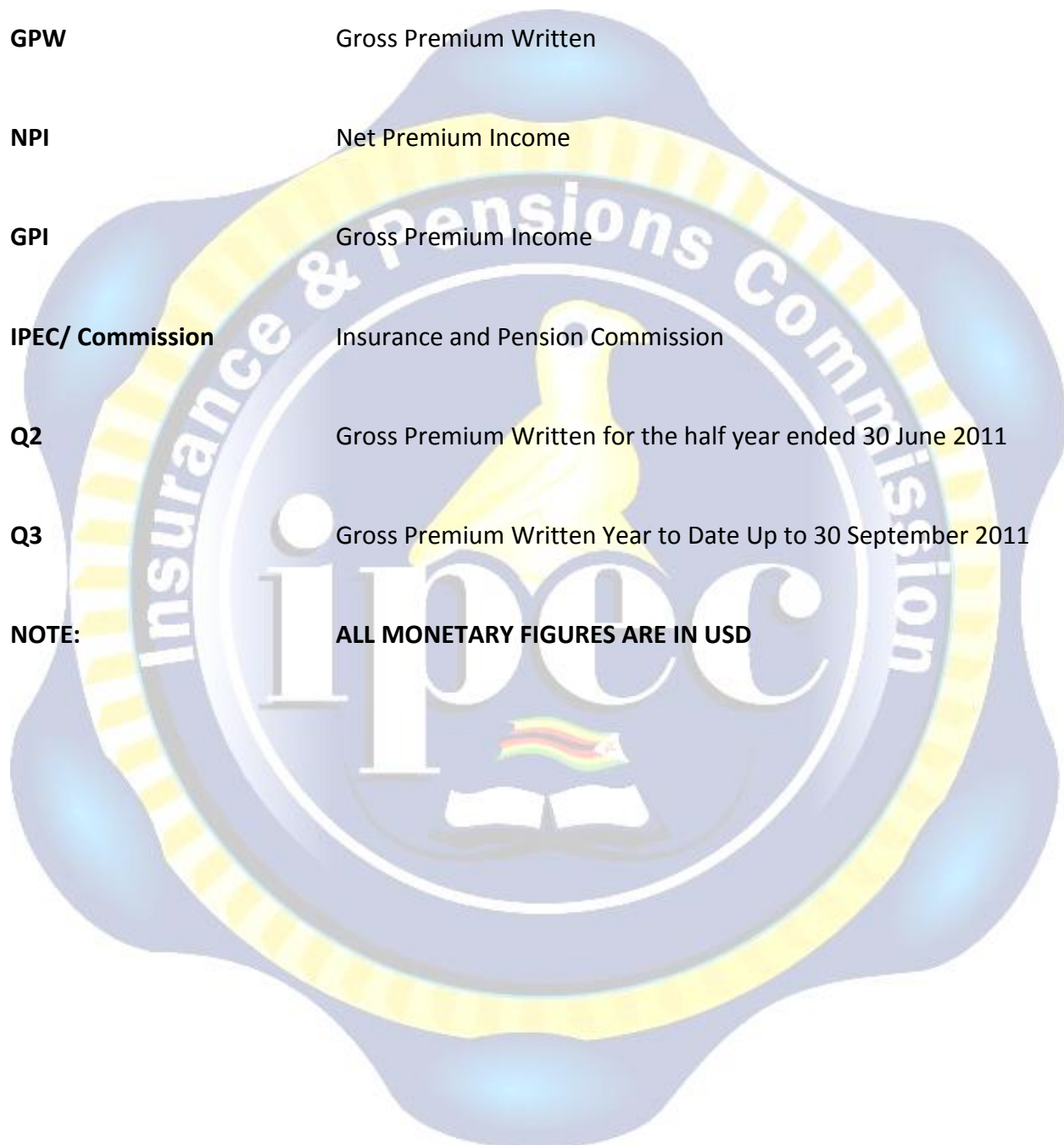
GPI Gross Premium Income

IPEC/ Commission Insurance and Pension Commission

Q2 Gross Premium Written for the half year ended 30 June 2011

Q3 Gross Premium Written Year to Date Up to 30 September 2011

NOTE: ALL MONETARY FIGURES ARE IN USD



2. Executive Summary

This report is a review of the third quarter ended 30 September 2011. The number of active life assurers was stagnant at 9 as reported in our preliminary half year report which formed the basis of our analysis due to lack of readily available previous reports. Going forward, all quarterly returns should assume the format herein under to enhance offsite supervision.

The life offices reported a strong resurgence in public confidence in the life industry reflected by a sector wide average growth rate of 83%, in GPI terms, for the period under review despite stagnation in income levels.

As at 30 September 2011, all players except one, met the minimum capital levels in terms of Statutory instrument 189 of 2009. We however highlight that the ongoing onsite inspections will also verify this aspect as a matter of top priority to check on reported figures among other critical compliance issues.

The Commission also noted an improvement among players in maintaining actuarial reserves in line with our assertion in the previous report and in terms of sections 25 and 39 of the Insurance Act. Emphasis should now be focused on accumulating adequate and sustainable reserves as a critical prudential issue.

Life offices realized a realignment of their asset portfolios with equity holdings shedding 7% from half year figures whilst property gained marginally, a scenario reminiscent of limited economic investment options for players.

High retention ratios averaging 98% were noted despite prior advice to employ risk spreading through reinsurance given the illiquid economic environment characterized by falling investment returns.

Furthermore investigations into the operations of AFRE subsidiaries are continuing with particular interest on all its insurance subsidiaries following placement under curatorship of Renaissance Merchant Bank in May 2011.

Finally we have added critical additional information requests which all players should submit quarterly. This information is tremendously vital for offsite supervision and includes agents database, claims age analysis, tabulated key performance indicators, gross written premiums by type of policies among others.

3. The Number of Life Assurance Companies

The number of players remained constant at 9 as reported in the half year report.

3.1. Business Written

Half year figures for this year have been used as the base since they constituted our first report post dollarization for the long term industry. Going forward, players are required to report not only on cumulative figures but also quarter-specific figures for easier monitoring.

The life insurance industry recorded strong performance in terms of gross premium written recording a growth of 83% from the last reporting period despite generally subdued income levels. This scenario is typical of a rapidly recovering sector and the reemergence of public confidence in the aftermath of the so-called lost decade. Table 1 below illustrates the scenario under review.

Table 1: Gross Premium Distribution by Company for the periods ended 30 June and 30 September 2011

Name of Life Company	(USD)	GPW (USD)		Cumulative Growth (%)
	Q2	Q3	Cumulative	
Altfin	1,588,536.00	1,557,402.00	3,145,938 .00	98.00
Evolution	1,192,889.00	619,054.00	1,811,943 .00	52.00
Fidelity	3,539,201.00	1,935,014.00	5,474,215.00	55.00
FML	8,124,408.00	10,760,889.00	18,885,297.00	132.00
IGI	415,697.00	230,222.00	645,919 .00	55.00
Old Mutual	32,507,025.00	26,238,772.00	58,745,797 .00	81.00
CBZ Life	214,179.00	278,665.00	492,844 .00	130.00
ZB Life	2,921,647.00	1,690,161.00	4,611,808 .00	58.00
Zimnat	4,131,735.00	1,863,942.00	5,995,677 .00	45.00
Total	54,635,317.00	45,174,121.00	99,809,438.00	83.00

3.2. Capitalisation

The issue of capitalization remains a priority compliance issue for the Commission. Table 2 below shows that as at 30 September 2011, all players save for one, complied with the minimum capital requirements in terms of Statutory Instrument 189 of 2009. The institution has however submitted an acceptable recapitalization plan to the Commission.

The Commission has commenced the capital verification exercise and members are advised to be fully prepared in this regard. During this process other compliance issues such as IT systems, duly paid-for treaty programmes among others will be looked at.

Further, we note that all players have now reported actuarial reserves and emphasis should now be on accumulating adequate and sustainable reserves.

Table 2: Capital and Actuarial Reserves as at 30 June and 30 September 2011

Company Name	Issued Share Capital			Other Capital			Retained Earnings			Owners' Equity			Actuarial Reserves		
	June	Sept	%	June	Sept	%	June	Sept	%	June	Sept	%	June	Sept	%
Altfin	542,000	542,000	-	0	0	-	4,724,527	4,408,033	(7)	5,266,527	4,950,033	(6)	0	65,428	-
CBZ Life	2,000	2,000	-	1,388,012	1,388,012	-	0	(208,047)	-	1,181,965	1,181,965	0	43,539	120,026	176
Evolution	3	21	600	1,765,738	870,365	(51)	160,856	228,910	42	1,926,597	1,099,296	(43)	951	133,933	13983
Fidelity	1,185,317	1,185,317	-	1,089,233	1,089,233	-	2,167,235	2,422,989	12	4,441,785	4,697,539	6	11,264,003	11,757,863	4
FML	201	501	149	2,606,300	2,606,200	-	3,963,647	(771,235)	(19)	6,570,148	1,835,466	(72)	3,005,265	2,173,492	28
IGI	1,952,668	30,000	(98)	5,839,233	0	(100)	69,788,683	(25,717)	-	77,554,867	4,283	(100)	663,940,932	110,395	(100)
Old Mutual	131,844	131,844	-	29,990,000	29,990,000	-	88,072,572	89,511,618	2	118,194,416	119,633,462	1	795,460,677	770,723,151	(3)
ZB Life	250,000	250,000	-	4,750,000	4,750,000	-	1,333,731	(1,090,666)	(82)	6,333,731	3,909,334	(38)	19,055,243	20,428,797	7
Zimnat	50,000	50,000	-	400,000	400,000	-	2,798,120	3,358,253	20	3,248,120	3,248,120	-	16,653,214	16,928,449	2
Total	4,114,033	2,191,683	47	47,828,516	41,093,810	(14)	173,009,371	97,834,138	(43)	224,718,156	140,559,498	(37)	1,509,423,824	822,441,534	(45)

*Other Capital includes reserves and share premium

3.3.1 Total Assets For Life Assurers By Class

The total industry assets were \$1billion which was a 2% (\$23,78 million) fall from the last reporting period. This was largely due to falling stock market values as a result of a generally depressed economic activity.

In line with depressed investment climate, Table 3 below denotes a marked reorientation of asset portfolios by industry from the previous reporting period. The underperforming stock holdings receded by 7% whilst the more stable properties picked marginal gains, reflecting a general lack of large investment funds needed to invest in properties.

Table 3 below largely buttresses the above discussion because less than a third of the market reported considerable cash positions.

Furthermore, players reported their holdings in other assets, being 6% of total market assets. Going forward, companies are required to disclose the entire composition of what constitutes 'other assets' for clarity reasons.

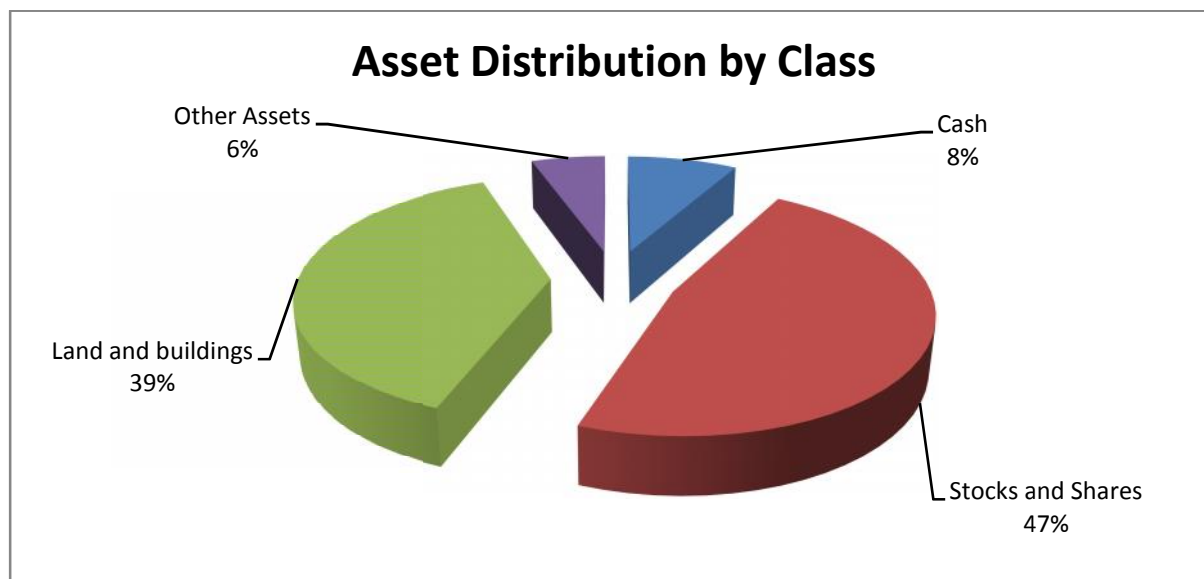
Table 3: Life Industry Asset Base as 30 June and 30 September 2011

Name of Company	Stock and Shares			Land & Buildings			Cash			Other Assets			Total Assets		
	June	Sept	%	June	Sept	%	June	Sept	%	June	Sept	%	June	Sept	%
Altfin	2,895,843	2,794,718	(3)	685,000	685,000	-	129,060	110,457	(14)	1,799,412	2,086,886	16	5,509,315	5,677,061	3
Evolution	46,862	0	(100)	1,591,880	1,781,596	12	100,218	109,589	9	1,602,780	2,076,344	30	3,341,740	3,967,529	19
Fidelity	3,996,730	4,746,314	19	3,437,928	3,942,906	15	0	4,011,781	-	10,768,323	6,740,099	(37)	18,202,981	19,441,100	7
FML	39,748,405	33,528,168	(16)	0	0	0	1,611,658	2,215,374	37	15,939,571	14,164,775	(11)	57,299,634	49,908,317	13
IGI	79,643	78,101	(2)	209,004	211,650	1	15,979	24,503	53	298,207	287,269	4	602,833	601,523	(0.2)
Old Mutual	435,309,511	404,408,055	(7)	369,123,687	368,791,983	-	66,910,554	73,365,018	10	17,589,971	22,349,231	27	888,933,723	868,914,287	(2)
CBZ Life	0	0	-	0	0	-	1,229,411	1,404,487	14	128,381	216,481	69	1,357,792	1,620,968	19
ZB Life	19,860,019	19,187,118	(3)	2,924,000	2,924,000	-	133,278	144,369	8	3,172,784	3,171,855	-	26,090,081	25,427,342	(3)
Zimnat	8,599,785	9,861,449	15	9,823,000	10,213,000	4	637,149	1,198,985	88	4,634,231	4,420,600	(5)	23,694,165	25,694,034	8
Total	510,536,798	474,603,923	(7)	387,794,499	388,550,135	0.2	70,767,307	82,584,563	17	55,933,660	55,513,540	(1)	1,025,032,264	1,001,252,161	(2)

Figure 2 below summarizes Table 3 above. As at 30 September 2011, stock holding continued to dominate market asset rankings albeit a slight fall from 50% reported in our 2011 half yearly report despite generally low returns for the year to date which may be an indication of limited viable investment options for players.

Land and buildings, Cash and other assets remained almost stagnant.

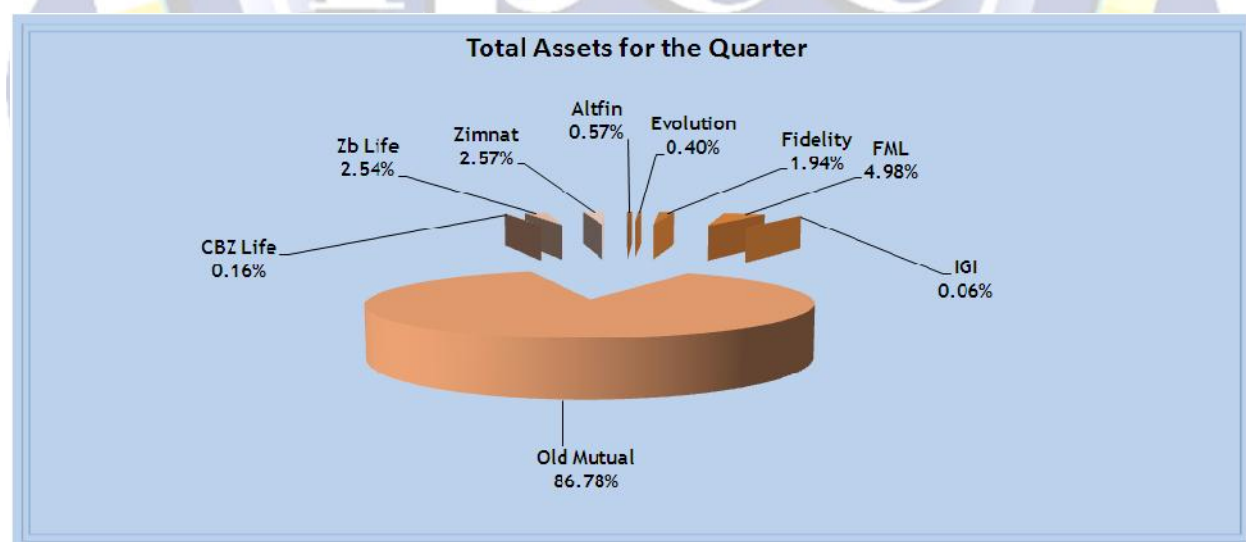
Figure 2: Total Assets by Class



3.3.2 Asset Distribution

Figure 1 below illustrates market distribution of assets by company as at 30 September 2011.

Figure 1: Total Assets by Company for the period ended 30 September 2011



The distribution of assets changed negligibly from positions reported as at 30 June 2011. The top three players controlled 94% down from 95% share reported in our half year report.

4. Reinsurance and Retention

Retention levels continued to be on the high side despite earlier advice in our half year report wherein we exhorted risk spreading among players in the industry. Life companies have increased their combined retention from 88% reported as at 30 June 2011 to a third quarter threshold of 95%(see table 4 below). This partly gives greater impetus for adoption of risk based capital models which are the norm in other regional jurisdictions. Players are advised to fulfill their treaty arrangements to avoid cash flow challenges in the event of large claims. Players are urged to religiously abide by insurance principles through risk spreading and players must appreciate this as it is key to managing risk.

Table 4: Reinsurance and Retention by Company for the Second and Third Quarter 2011

Name of Company	GPW			Reinsurance			Retention Ratio (%)		
	Q2	Q3	Cumulative	Q2	Q3	Cumulative	Q2	Q3	Cumulative
Altfin	1,588,536	1,557,402.00	3,145,938	313,263	N/R	290,724	80.28	N/R	90.76
Evolution	1,192,889	619,054.00	1,811,943	565,343	N/R	840,931	52.61	N/R	53.59
Fidelity	3,539,201	1,935,014.00	5,474,215	86,333	N/R	153,149	97.56	N/R	97.20
FML	8,124,408	10,760,889.00	18,885,297	201,308	N/R	125,597	97.52	N/R	99.33
IGI	415,697	230,222.00	645,919	1,803	N/R	27,821	99.57	N/R	95.69
Old Mutual	32,507,025	26,238,772.00	58,745,797	4,942,428	N/R	156,514	84.80	N/R	99.73
CBZ Life	214,179	278,665.00	492,844	1,803	N/R	27,821	99.16	N/R	94.36
ZB Life	2,921,647	1,690,161.00	4,611,808	42,016	N/R	85,889	98.56	N/R	98.14
Zimnat	4,131,735	1,863,942.00	5,995,677	449,646	N/R	316,922	89.12	N/R	94.71
Total	54,635,317	45,174,121.00	99,809,438	6,603,943		2,025,368	87.91		97.97

Key:

N/R - Not Reported

5. Claims

Figure 3 below illustrates that almost half of the claims were surrenders. This shows liquidity challenges that are faced by policyholders in line with the prevailing low disposable incomes with insurance getting low priority ranking among other basic needs. We expect reversal of this scenario in tandem with anticipated economic upturn in the medium term. Players are encouraged to be innovative and come up with products relevant to present day insurance consumers.

Claims in respect of mature policies constituted 38%, down from 74% reported as at 30 June 2011. This massive reduction was a result of the differentiation between surrenders and mature policies which made trend analysis difficult.

In line with falling mortality levels, death claims receded by 10% from the last reporting period.

Figure 3: Total Claims by Class

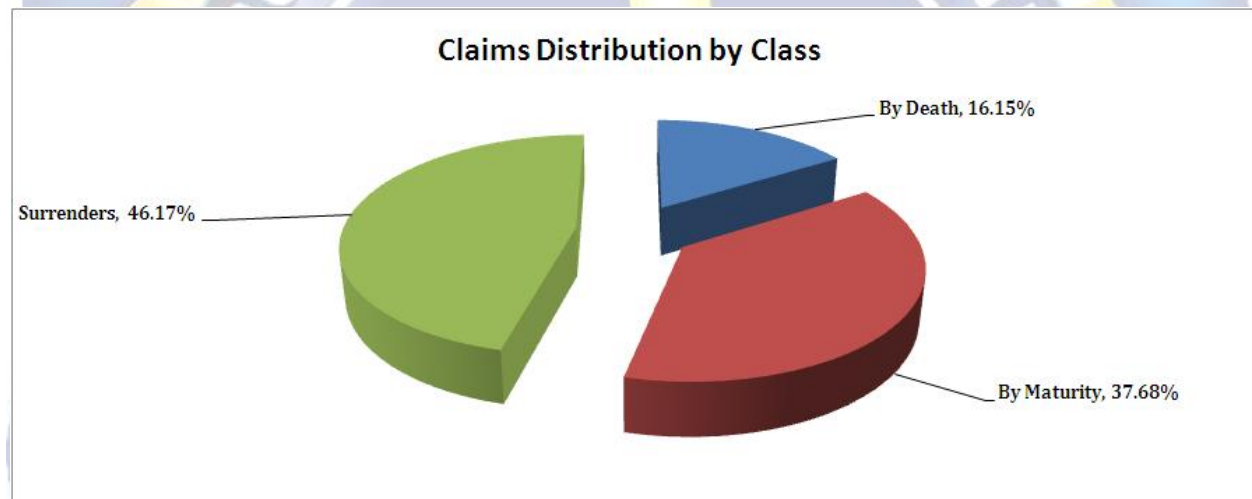


Table 5 below illustrates claims statistics by company.

Table 5: Total Claims by Company.

Name of Assurer	Outstanding Claims	Settled Claims	Total Claims	Settled Claims/Total Claims
Altfin	139,278	262,348	401,626	65.3%
CBZ Life	0	2,912	2,912	100.0%
Evolution	0	851,555	851,555	100.0%
Fidelity	112,334	466,797	579,131	80.6%
FML	1,441,275	2,512,494	3,953,769	63.5%
IGI	0	80,853	80,853	100.0%
Old Mutual	1,949,515	26,944,436	28,893,951	93.3%
Zb Life	109,604	800,113	909,717	88.0%
Zimnat	40,547	2,012,983	2,053,530	98.0%
Total	3,792,553	33,934,491	37,727,044	89.95%

The table above shows that 90% of the claims have been settled suggesting supposedly excellent claims turnaround periods which are critically important in not only restoring public confidence in the industry but also a strong and sharp marketing tool.

6. Conclusion

The Commission believes the entire insurance industry should complement us in restoring stakeholder confidence. Players are required to conform to prudent and ethical business practices including but not limited to maintenance of adequate actuarial reserves, timeous submission of returns, regularization of all agents throughout Zimbabwe, prompt claim settlement and risk spreading via reinsurance among others. Players should always subscribe to these minimum best practices and these form the thrust of the ongoing onsite inspections.